

DAIICT
Financial Markets (2025)
Course Outline

Course Description

There has been a dramatic growth in markets for financial products like stocks, bonds, currencies, derivatives, insurance, private equity and Venture capital. The purpose of this course is to provide knowledge of various markets and their applications.

Course Objectives

On completion of the course, the students will have knowledge of:

- a) Stock markets – Microstructure and IPO management
- b) Money markets – Call money and Treasury bill markets
- c) Bond markets – Microstructure and valuation
- d) Derivatives markets – Forwards, Futures, Options and Swaps
- e) Forex markets – Exchange rates, Exposures and Euromarkets
- f) Insurance market
- g) PEVC – Fund raising, financing and PE industry in India

Instructor

B.B. Chakrabarti - email: bbc@iimcal.ac.in

Course Material

A) Cases

- 1) Narayana Health: The Initial Public Offering Decision - HBS Case No. W 17503
- 2) Fairfax and Thomas Cook India: Private Equity, Permannet Capital and Public Markets - HBS Case No. W15463

B) Class notes

Course Evaluation

- 1) Attendance – 10%
- 2) Quizzes (Two – One after Session 13 and the other after Session 25) – 20%
- 3) In-Semester examination (after Session 13) – 30%
- 4) End-Semester examination – 40%

Session Plan (Total hours – 42)

Main Topic	Sub-Topic	Hours
Financial Markets	S 1 - Introduction	1.5
Stock Markets	S 2 - Market Microstructure	3
	S 3 - IPO management – Case of Narayana Health	1.5
Money Markets	S 4 - Call Money Market	1.5
	S 5 - Treasury Bill Market	1.5
Bond Markets	S 6 - Market Microstructure	2
	S 7 - Yield, Spot and Forward Rates	1.5
	S 8 - Valuation of Bonds	1.5
Derivatives Markets	S 9 - Introduction	1.5
	S 10 - Futures Market	1.5
	S 11 - Options Market	1.5
	S 12 - Trading Strategies	2
	S 13 - Swap Market	3
Forex Markets	S 14 - Market Microstructure	1.5
	S 15 - Exchange Rates and Parity Conditions	1.5
	S 16 - Translation and Transaction Exposures	2
	S 17 - Economic Exposure	1.5
	S 18 - Euromarkets	1.5
Insurance Market	S 19 - Concepts	1.5
Private Equity and Venture Capital Market	S 20 - Introduction	1.5
	S 21 - Organization of PE Funds	1.5
	S 22 - VC Financing	1.5
	S 23 - LBO Financing	1.5
	S 24 – The Process of PE Investment	1.5
	S 25 - PE Industry in India – Case of TCIL	1.5